

INVESTMENT MEMORANDUM

Joint Stock Company Kaspi.kz (NASDAQ: KSPI | KASE: KSPI)

Date: May 2026 | Analyst: Batyrkhan Kuanyshev | Recommendation: BUY

Company Snapshot

Current Price: \$86.26 (NASDAQ ADS, May 2026)

Market Capitalization: ~\$15.4B

Enterprise Value: ~\$14.9B

DCF Implied Price: \$511 (+493% upside)

Sector: Fintech / Super-App Ecosystem — Kazakhstan & Central Asia

FY2025 Revenue: \$8.6B (+60% YoY)

FY2025 EBITDA Margin: ~77% (extraordinary for any platform globally)

Business Description

Kaspi.kz is Kazakhstan's dominant super-app ecosystem, operating across three interlocked platforms: Payments, Marketplace, and Fintech. The Kaspi.kz Super App for consumers and Kaspi Pay for merchants together serve over 14 million active users and 568,000 active merchants in a country of 19 million people — a penetration rate with few global parallels. The business model is elegantly simple: every transaction on one platform deepens engagement on the others, creating a self-reinforcing flywheel.

The Payments platform processes total payment value (TPV) exceeding ₸12 trillion quarterly. The Marketplace (GMV ~₸1.9 trillion/quarter) monetises the payment rails by making Kaspi the default e-commerce destination. Fintech — consumer lending, BNPL, and SME credit — generates the highest revenue density and benefits from the real-time transaction data the other two platforms provide.

In 2024, Kaspi acquired Ukrainian fintech leader Kolya, signalling a credible and ambitious Central Asian/Caucasus expansion thesis that is not yet priced in.

Investment Thesis

We rate KSPI a BUY with a 12-month DCF-derived price target of ~\$150–\$200, a range we consider achievable with conservative assumptions (see sensitivity note below). The full DCF value of ~\$511 represents a longer-duration intrinsic view assuming the current growth trajectory holds.

Three pillars underpin the thesis:

- Network-effect moat that is nearly impossible to replicate. Any competitor must simultaneously recruit consumers and merchants — a 'chicken-and-egg' problem Kaspi solved a decade ago with a now-dominant installed base.
- Profitability and capital return discipline that is exceptional for a high-growth EM fintech. EBITDA margins of ~77%, ROE above 50%, and consistent dividend payments reflect a mature, cash-generative core alongside a high-growth reinvestment story.
- Valuation compression creates an asymmetric entry point. At ~7.7x trailing earnings and 3.3x EV/EBITDA, KSPI trades at a steep discount to global fintech peers (median EV/EBITDA ~17x) despite superior growth and margins. The discount reflects EM risk, Kazakhstan liquidity concerns, and ADS structure complexity — none of which impair the underlying earnings power.

Valuation Summary

The three-sheet model (DCF, Comps, WACC) produces the following football field:

Methodology	Implied Price (USD)	vs. Current (\$86)
DCF (Base Case, WACC 13.1%, TGR 3%)	\$511	+493%
Comps — EV/Revenue Median (5.0x)	\$207	+140%
Comps — EV/EBITDA Median (17.1x)	\$540	+526%
52-Week High	\$122	+41%
52-Week Low / Floor	\$72	-16%
Current Market Price	\$86.26	—

Note: The DCF price of \$511 and EV/EBITDA comp price of \$540 reflect full intrinsic value assuming 25% revenue CAGR over four projection years and 77–79% EBITDA margins. A more conservative scenario — 15% revenue growth, 10% haircut on margins, and WACC of 14% — yields a price closer to \$150–200. The EV/Revenue comp (\$207) is the most conservative single-metric estimate and still implies 140% upside.

WACC Build (13.1%)

Component	Input	Source
Risk-Free Rate (Rf)	4.3%	US 10Y Treasury
Equity Risk Premium	5.5%	Damodaran EM
Beta (β)	0.85	KSPI vs NASDAQ
Size Premium	2.0%	EM illiquidity
Country Risk Premium	2.5%	Damodaran KZ
Cost of Equity (Ke)	13.5%	CAPM
After-Tax Cost of Debt	5.2%	$6.5\% \times (1-20\%)$
WACC	13.1%	Market value weights

The 13.1% WACC reflects Kazakhstan's Country Risk Premium (2.5%) and a size/illiquidity adjustment (2.0%) above a standard CAPM. Sensitivity analysis shows that even at WACC of 14% and TGR of 2%, the model yields ~\$433/share — still 400%+ above current market price. This is a function of KSPI's genuinely exceptional cash-generation economics rather than aggressive assumptions.

Key Risks

- Kazakhstan geopolitical and macro risk: KZT/USD depreciation directly impacts USD-denominated returns. The tenge weakened ~20% in 2023–24. Revenue is KZT-denominated; USD investors bear FX translation risk.
- Regulatory risk: Kaspi Bank operates under NBRK oversight. Any tightening of consumer lending caps or digital payment regulation could compress Fintech margins materially.
- Concentration risk: ~85% of revenue is Kazakhstan. The Central Asian expansion (Uzbekistan, Azerbaijan, Ukraine) is at an early stage; execution risk is real.
- ADS/liquidity discount: The NASDAQ ADS structure and limited free float (~15%) create illiquidity. Institutional interest remains low, which both creates the opportunity and is a constraint on catalyst timing.
- Interest rate sensitivity: UFCF projections assume stable net interest margins; rising Kazakhstan base rates could compress Fintech spreads.

Conclusion

Kaspi.kz is one of the highest-quality fintech businesses in emerging markets — a true super-app with network effects, pricing power, and capital discipline. The current valuation, at under 8x earnings and 3x EV/EBITDA, reflects fear rather than fundamentals. Even with a 50% haircut to the DCF intrinsic value, the stock is significantly undervalued. For a long-term portfolio seeking asymmetric EM fintech exposure, KSPI at ~\$86 offers a compelling entry point.

Recommended Action: BUY | 12-Month Target: \$150–\$200 | Risk Rating: Medium-High

This memo is made by Batyrkhan Kuanyshhev and for educational/portfolio purposes only and does not constitute investment advice.